SUSPICIOUS ACTIVITY REPORT (SAR)
AML Compliance Confidential Report

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1. Reporting Institution Details

Institution Name: XYZ Bank *(Fictional Sample)*

Branch/Location: Mumbai, India

Date of Report: 01/02/2026

Report Reference No.: SAR/2026/001

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2. Subject Information (Customer Details)

Name: Rajiv Mehta *(Fictional Sample)*

Date of Birth: 12 March 1985

Nationality: Indian

Customer Type: Individual (Business Owner – Import/Export)

Account Number: XXXXXXXX1234

KYC Status: Verified- KYC Completed January 2026

CDD Status: CDD completed February 2026, Risk rated: Medium-High

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3. Summary of Suspicious Activity

This report is being filed to highlight suspicious transaction patterns observed in the customer's account between April and June 2025. The activity involves multiple structured cash deposits just below INR 10 lakh mandatory reporting threshold on consecutive days, which is inconsistent with customer's declared import-export business profile and expected transaction activity documented at onboarding.

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4. Detailed Description of Activity

Between April to June, the customer conducted multiple cash deposits in the range of ₹9,00,000 to ₹9,50,000 across consecutive days.

Key observations include:

- Transactions consistently below ₹10,00,000 reporting threshold from 1/04/2025-10/06/2025
- Repetitive deposit pattern indicating structuring behaviour
- Activity inconsistent with declared business profile

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5. Grounds for Suspicion

The following indicators raise suspicion of potential money laundering activity:

- Structuring (smurfing) to avoid mandatory reporting requirements
- Unusual cash-intensive transactions
- Lack of clear economic or lawful purpose

- Deviation from expected transaction behaviour

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6. Risk Assessment

Risk Level: High

The nature, frequency, and structuring of transactions significantly increase the risk of financial crime. The pattern is consistent with placement stage money laundering activity, specifically the use of structured cash deposits to introduce illicit funds into banking system while avoiding mandatory reporting. The activity deviates materially from the customer's declared business profile and expected transaction behaviour documented at KYC onboarding.

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7. Action Taken by Reporting Entity

- Account flagged for suspicious activity monitoring
- Enhanced Due Diligence (EDD) initiated
- Internal escalation to compliance team completed
- Transaction monitoring intensified

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8. Recommendation

- Filing of SAR with FIU-IND (Financial Intelligence Unit-India) under PMLA section 12 within mandated timelines.
- Conduct further investigation into source of cash funds and ultimate beneficial use of deposited amounts.
- Maintain continuous daily monitoring of account activity pending investigation outcome.
- Consider account restriction or suspension if customer fails to provide satisfactory source-of-funds explanation
- Reassess customer risk rating from Medium-high to High; initiate formal EDD review
- Review all related accounts and any linked entities for similar structuring patterns.

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9. Supporting Information

- Transaction history (simulated data)
- KYC and CDD documentation
- Risk assessment report

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10. Reporting Officer Details

Name: Ruchi Rajbhar

Designation: Compliance Analyst (Sample Project)

Department: AML Compliance

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11. Confidentiality Statement

This report is confidential and intended solely for regulatory and compliance purposes. Unauthorized disclosure of this report or its contents is strictly prohibited under PMLA section 12. Tipping off the subject of this SAR is a criminal offence.

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12. Disclaimer

This is a simulated Suspicious Activity Report prepared as part of self-directed AML/KYC certification study 2026, educational and portfolio purposes to demonstrate understanding of AML compliance and reporting frameworks.